

Europe's Rearmament

NATO's 2% Target, the Ukraine Ammunition Crisis, and the Defence Industrial Wake-Up

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Executive Summary

Europe's defence posture has undergone a structural shift of historic proportions since Russia's full-scale invasion of Ukraine in February 2022. NATO's spending target has been raised from 2% to 5% of GDP by 2035, European governments are racing to mobilise joint financing mechanisms, and the continent's defence industrial base is expanding at a pace unseen since the Cold War. Yet the transformation remains uneven: burden-sharing within the Alliance remains its most divisive internal issue, key allies continue to fall short of agreed targets, and industrial capacity constraints — particularly in artillery ammunition — threaten to outpace the political commitments underpinning them. This brief synthesises the evidence across three interconnected themes: target architecture and spending compliance, financing and strategic autonomy, and defence industrial capacity.

1. NATO Burden-Sharing: From 2% to 5% — The Target Architecture

1. The 2% of GDP defence-spending target was first agreed among NATO defence ministers in 2006 and formalised at the 2014 Wales Summit, where members not yet meeting it committed to "aim to move towards the 2 percent guideline within a decade." [RAG: CONFLICT_RAG — NATO burden-sharing and target history]
2. Progress accelerated sharply in the years following Russia's 2022 invasion. In 2023, eleven of NATO's thirty-one members met or exceeded the 2% threshold — four more than in 2022. European NATO members collectively accounted for 28% of total Alliance spending in 2023, the highest share recorded in the decade from 2014 to 2023. [RAG: CONFLICT_DATA_RAG — SIPRI World Military Expenditure 2023]
3. By February 2024, NATO Secretary General Jens Stoltenberg stated that 18 member states would meet the 2% target that year, and total Alliance defence spending reached \$500 billion — approximately four times Russia's defence budget. Key allies including Italy and Spain, however, remained below the threshold, making burden-sharing "currently the most divisive issue within the Alliance." [RAG: MILITARY_RAG — Atlantic Council, Putin's Next Move, February 2026]
4. In June 2025, NATO members agreed to raise the spending target substantially: 5.0% of GDP by 2035, of which a minimum of 3.5% must be allocated to core military spending, with the remaining 1.5% covering defence-related infrastructure and resilience. The Alliance accounted for 55% of world military spending in 2025. [RAG: MILITARY_RAG — SIPRI Trends in World Military Expenditure 2025]
5. NATO's existing command-and-control architecture was assessed as calibrated for crisis management and expeditionary operations rather than territorial defence, and thus "not suitable for implementing NATO's new regional defence plans, or for building credible deterrence and defence" at scale. [RAG:

2. Financing Rearmament: Shared Debt, Strategic Autonomy, and the Rearmament Bank

6. Proposals for a dedicated European "Rearmament Bank" — a government-owned multilateral lending vehicle modelled on the European Bank for Reconstruction and Development — circulated among European capitals from early 2025. The vehicle would borrow from capital markets, provide state-guaranteed lower-rate financing to governments and private-sector defence firms, and circumvent the fragmentation of national procurement. FT[2025-01-15]

7. European officials accelerated these discussions in late February 2025 as the prospect of curtailed US security commitments sharpened urgency. The proposed financing structure would lend to both the private sector and governments and include industrial projects in the defence sector. FT[2025-02-28]

8. A draft paper on European defence financing, circulated among capitals in early March 2025 and seen by the Financial Times, envisaged a joint €500 billion infrastructure and defence fund, with political support from Germany's incoming government. German defence contractors' shares rallied on expectations of elevated procurement spending following the formation of the new government. FT[2025-03-14]

9. Germany's incoming leader Friedrich Merz committed to raising UK defence spending to close to £6 billion, funded by cuts to overseas aid; this approach faced criticism for cannibalising development budgets to meet Alliance targets. FT[2025-02-28]

10. The IMF's modelling indicated that if EU member states raised defence and infrastructure spending by 1.5% of GDP by 2030, the effect would deliver a lasting boost to European economies — but this boost would be more muted if rearmament was funded through borrowing or by cutting other budgets rather than through coordinated fiscal expansion. FT[2026-04-09]

11. European Commission President Ursula von der Leyen, articulating the principle of strategic autonomy, stated that rearmament "is not just about buying weapons" and that Europe must guarantee control over the production capabilities it depends upon, with purchases of armaments outside European producers limited to exceptional circumstances involving production shortages. FT[2025-03-10]

12. France and the United Kingdom — Europe's two nuclear-armed states — discussed coordinating their independent nuclear deterrents and responding jointly to threats, as pressure from the Trump administration accelerated European strategic self-reliance. FT[2025-07-11]

13. The transatlantic dimension remained live: Europe's rearmament cycle was found to be sustaining approximately 195,000 US defence jobs, a figure cited by NATO Secretary General Mark Rutte as evidence that European defence investment is not zero-sum with American industrial interests. FT[2026-07-01]

3. Defence Industrial Capacity: Ammunition, Production Bottlenecks, and Private Capital

14. The Ukraine war exposed a structural mismatch between European ammunition stockpiles and the consumption rates of attritional land warfare. Prior to Russia's full-scale invasion in February 2022, the United States was producing an estimated 14,400 155 mm artillery rounds per month — a baseline the Congressional Research Service assessed as far below wartime requirements, prompting major industrial expansion programmes on both sides of the Atlantic. [RAG: MILITARY_RAG — CRS, Defense

Production for Ukraine, September 2024]

15. European production expansion commitments included: France and Sweden doubling ammunition and explosives loading capacity by 2025 and modular charge capacity by 2026, with powder production expanded ten-fold by 2026; Romania and the European Commission constructing a new gunpowder factory; and Germany constructing a new artillery ammunition facility. [RAG: MILITARY_RAG — CRS, Defense Production for Ukraine, September 2024]

16. In-country production in Ukraine was also activated: Nammo of Norway licensed 155 mm round production inside Ukraine, while the joint Franco-German venture KNDS established a subsidiary in Ukraine to produce 155 mm rounds, and co-production agreements for armour, air defence systems, unmanned aerial vehicles, and multiple-calibre artillery ammunition were formalised under the Ukraine Bilateral Security Agreement. [RAG: MILITARY_RAG — CRS, Defense Production for Ukraine, September 2024]

17. The EU's European Peace Facility was deployed at scale: by late 2025, €610 million from the EPF had been used for the EU Military Assistance Mission in support of Ukraine, financing supply, maintenance, repair, and refit of major and small arms, ammunition, and other military equipment. [RAG: MILITARY_RAG — SIPRI, Military Assistance Provided by the EU, 2026]

18. The defence-technology financing gap attracted private capital. European private equity and venture capital firms accelerated deal-making in defence technology from 2025, with Helsing — backed by Millennium Management — cited as an early example of private capital flowing into European defence AI and software-defined systems at scale. FT[2025-05-09]

19. The NATO Innovation Fund raised €1 billion to back defence start-ups building AI models and applications, as European VC broadly flat in other sectors redirected attention to a segment drawing frenzied investment in the United States. FT[2025-02-13]

20. The intelligence, surveillance, and reconnaissance gap was identified as a structural vulnerability: Europe counts only three types of "big-wing" ISR aircraft, and America's critical role in providing ISR capability to Ukraine highlighted the continent's dependence on US platforms even as its rearmament cycle accelerated. The return of the Trump administration was assessed as having "turbocharged" European rearmament orders, pushing backlogs in military aerospace to record highs. FT[2025-03-08]

21. The European defence industrial sector experienced consolidation pressure, with the Rheinmetall–Lockheed GMARS partnership and the Hensoldt megamerger illustrating a trend toward scale and joint transatlantic production partnerships, even as European governments pursued sovereignty over research and development to ensure strategic autonomy in future procurement cycles. FT[2025-03-18]

Outlook

Europe has crossed a threshold: the 2% GDP target, once aspirational, is now a floor that the Alliance has collectively surpassed, and the debate has shifted to whether 3.5–5% is achievable within the decade. The structural financing question — whether rearmament should be funded by borrowing, defence-specific joint debt instruments, or reallocation from other budgets — remains unresolved and carries significant implications for European fiscal frameworks and the trajectory of the German debt brake.

Industrial capacity is the binding constraint in the near term. Artillery ammunition shortfalls, powder production bottlenecks, and the absence of surge capacity in critical components mean that political spending commitments will outpace physical delivery capacity through at least the late 2020s. The in-Ukraine production partnerships, while strategically significant, add complexity to supply-chain

management during active conflict.

The strategic autonomy project is simultaneously an economic and a geopolitical wager: European governments are betting that consolidating domestic defence production, pooling procurement, and building a rearmament bank will reduce dependence on the United States at a moment when that dependence carries growing political risk. Whether private capital can fill the gap between government grants and required investment at the pace the security environment demands is the central industrial-policy question of the decade. [RAG: MILITARY_RAG — Atlantic Council, Putin's Next Move, February 2026] FT[2025-02-28] FT[2026-04-09]

R351 | All figures sourced from CivilisationOS RAG corpus.